

Tax Handling Research — AI Invoice & Bookkeeping Tool (India)

Prepared for the product team. Rules are dated to FY/AY 2025-26 unless noted. Indian tax rates change every Union Budget (Feb) and via GST Council meetings — re-verify before shipping any hard-coded rate. Sources are linked inline. "Rec:" marks a recommendation (opinion); everything else is sourced fact.

1. TL;DR / Recommendations

For a small-business invoice/bookkeeping tool, the practical answer is:

- 1. **Treat GST as a balance-sheet pass-through, never as revenue or expense.** Book sales/purchases **net of GST**; output GST is a *liability*, input GST (ITC) is an *asset*, and **GST payable = output – input**. This is exactly what the current dashboard figure represents — keep it, but move the underlying postings off the P&L. (ICAI Handbook on Finalisation of Accounts with GST perspective)
- 2. **Stop inferring GST purely from whether the invoice itemised it.** Add three first-class flags so a "no-GST total" is never silently booked as ₹0 tax: **(a) a registration setting** ("Am I GST-registered? GSTIN? Composition?"), **(b) a per-invoice pricing toggle** — *GST-exclusive / GST-inclusive / Exempt/Nil / Zero-rated / RCM*, and **(c) a per-customer/vendor GST treatment** (Registered / Unregistered / Consumer / SEZ / Overseas). This mirrors Zoho Books and is the single biggest correctness fix. (Zoho Books GST treatment formats)
- 3. **For the "taxable sale shown with no GST" edge case, default to FLAG, not ₹0.** If the seller is GST-registered and the supply is taxable, a missing GST line is most often a **GST-inclusive** price → back it out with $\text{tax} = \text{total} - \text{total} \times 100 / (100 + \text{rate})$. Only book ₹0 GST when the supply is genuinely **exempt/nil-rated**, the seller is **unregistered/composition**, or it's a **B2C-inclusive** sale you've explicitly marked. Make the default an amber review flag with a one-click "inclusive at standard rate / exempt / unregistered" resolution.
- 4. **Income/corporate tax on the P&L = a single "Provision for Tax (estimated)" line below operating profit.** Don't build a tax engine. Compute a *rough estimate* from entity type (proprietor slabs / firm-LLP 30% / company 22–30%) on net profit, label it clearly as an estimate until the return is filed, and let the user override. Offer **presumptive (44AD/44ADA)** as a simpler alternative estimate for tiny businesses.
- 5. **Add the split.** Capture **CGST/SGST vs IGST** (driven by place-of-supply = intra- vs inter-state) and the **GST rate** per line, not just a lump tax . Every Indian competitor does this; GSTR-1/3B summaries are impossible without it.
- 6. **Roadmap priority for missing taxes:** *Must-have* — CGST/SGST/IGST split, GST rate, inclusive/exclusive handling, exempt/zero-rated tags, RCM flag, GST-payable as balance-sheet, income-tax provision estimate. *Nice-to-have* — TDS payable/receivable, professional tax, composition tax, GSTR-1/3B export. *Skip for v1* — capital gains, customs/import IGST detail, TCS, cess on sin goods (situational).

2. Tool Context

An AI invoice/data-entry processor for Indian small businesses (₹, GST). A vision model extracts vendor/date/number/line-items/subtotal/tax/total from uploaded or Gmail-pulled invoices, auto-categorises to a chart of accounts, builds a **P&L bottom-up** (revenue from sent invoices, expenses from received bills, **net of GST**), and shows **GST payable = output – input**. **Current baseline:** GST is one extracted tax number per invoice (no rate, no CGST/SGST/IGST split, no inclusive/exclusive logic, no RCM, no exempt tracking); income tax is an empty manual "Tax Expense" line; nothing else is handled.

3. GST Mechanics (the rules)

3.1 Registration thresholds (as of FY 2025-26 — verify)

Supply type	Normal states	Special-category states
Goods	₹40 lakh aggregate turnover	₹20 lakh
Services	₹20 lakh	₹10 lakh

J&K and Assam (otherwise special-category) opted into the ₹40 lakh goods limit. Below threshold, registration is **optional** (but voluntary registration is common to claim ITC / sell B2B). ([ClearTax — GST registration limits](#), [Razorpay — registration limits](#))

Product implication: the tool must know **whether the user is registered**. An unregistered seller charges no GST at all — so "no GST on the invoice" is *correct*, not an error.

3.2 Composition scheme

A simplified flat-rate scheme for small taxpayers. Turnover limit: **₹1.5 crore** (goods), **₹50 lakh** (services / mixed). Composition dealers **cannot charge GST on the invoice, cannot claim ITC**, and pay a flat % of turnover instead. Invoices say "*composition taxable person, not eligible to collect tax.*" Indicative rates: **1%** traders/manufacturers, **5%** restaurants, **6%** service providers. Quarterly **CMP-08**. ([ClearTax registration limits](#), [Vyapar](#))

Product implication: composition users should have GST-payable computed as *flat % of sales*, not output–input. A distinct mode.

3.3 Output tax, input tax, ITC, and net payable

- **Output tax** = GST charged on your **sales** (a liability you owe the govt).
- **Input tax** = GST paid on your **purchases**; claimable as **Input Tax Credit (ITC)** if the supply is for business and not in the blocked-credit list (Sec 17(5)).
- **Net GST payable** = **Output tax** – **ITC**, settled monthly/quarterly (cash) via **GSTR-3B**. ([CBIC RCM flyer / GSTR-3B structure](#), [Oracle JD Edwards GSTR-3B 3.1 reference](#))

This is exactly the dashboard figure the tool already computes — the math is right; only the *bookkeeping placement* needs fixing (see §4).

3.4 GST slabs — GST 2.0, effective 22 Sep 2025 (verify; this is recent)

The 56th GST Council (3 Sep 2025) **collapsed the old 0/5/12/18/28 structure** into a two-rate system plus a sin/luxury rate. Most 12% items moved to 5%; most 28% items moved to 18%.

Slab	Role	Typical items
0% (Nil)	Essentials	UHT milk, paneer, Indian breads, many life-saving drugs, books, fresh produce
5% (merit)	Mass-use goods/services	Packaged food, toothpaste/soap, footwear/apparel (lower band), most everyday services formerly 12%
18% (standard)	Default for most goods & services	Most services, electronics, software/SaaS, professional fees, compact cars
40% (sin/luxury)	Demerit	Tobacco, pan masala, aerated drinks, premium cars (replaces old 28%+cess)
Niche	Special	Gold/precious metals 3% , rough diamonds 0.25%

([ClearTax GST rates 2026](#), [Cashfree — new GST rates](#), [Tally — 12%/28% slabs axed](#))

Rec: default the tool's "standard rate" to **18%** and let users pick 5%/18%/40%/0%/3%. Don't hard-code the old 12%/28%. Keep a small editable rate table so the next Budget doesn't break you.

3.5 GST-inclusive vs GST-exclusive (the formula you need)

- **Exclusive** (tax added on top — typical B2B tax invoice): $GST = Base \times rate\%$; $Total = Base + GST$.
- **Inclusive** (price already contains tax — common B2C/retail/MRP): back it out:

$Taxable\ Value\ (Base) = Total \times 100 / (100 + rate)$ $GST = Total - Base$ e.g. ₹1,180 inclusive @18% → $Base = 1180 \times 100 / 118 = ₹1,000$; $GST = ₹180$.

([India GST calculator — inclusive/exclusive & CGST/SGST/IGST](#), [TheGSTCalculator](#), [TaxAdda GST calculator](#))

Why it matters for the tool: when an invoice total has no separate GST line, the right move depends on whether the price is inclusive (back it out) or the supply is exempt (₹0). Today the tool always assumes ₹0 → **under-reports GST**.

3.6 CGST/SGST vs IGST (place of supply)

Transaction	Tax	Split
Intra-state (supplier & place of supply same state)	CGST + SGST	each = half the rate (18% → 9% + 9%)
Inter-state (different states/UTs, or import/export)	IGST	full rate (18% → 18% IGST)

CGST → central govt, SGST → state govt, IGST → central (later apportioned). The **total tax is identical**; only the split differs. ([India GST calculator](#), [Wise GST calculator](#))

Do small-business tools track this? Yes — Zoho, Tally, Vyapar, QuickBooks all auto-split CGST/SGST vs IGST from the customer's state vs your state. It's required for GSTR-1. **Rec:** capture *place of supply* (state) and derive the split; don't ask the user to choose CGST vs IGST manually.

3.7 Exempt / nil-rated / zero-rated / non-GST

Type	Meaning	GST charged	ITC on inputs
Nil-rated	Taxable but rate is 0% (e.g. some grains)	₹0	No
Exempt	Notified exempt (e.g. certain services, unbranded food)	₹0	No
Zero-rated	Exports & SEZ supplies	₹0 (with LUT) or IGST paid then refunded	Yes — refundable
Non-GST	Outside GST (petrol, alcohol)	N/A	No

In GSTR-3B these go to distinct boxes: 3.1(a) taxable, **3.1(b) zero-rated**, **3.1(c) nil-rated/exempt**. Critically, **zero-rated ≠ exempt**: exporters keep their ITC, exempt suppliers don't. ([RCM/zero-rated guide](#), [Oracle GSTR-3B 3.1](#))

Product implication: a "GST = 0" invoice could be *any* of these. The tool needs an explicit tag, because they're reported in different return boxes and have different ITC consequences.

3.8 Reverse Charge Mechanism (RCM)

Normally the **seller** collects GST. Under **RCM the buyer** self-assesses and pays GST directly to the govt (then usually claims it back as ITC). Common triggers: goods transport (GTA), legal services, imports of services, purchases from unregistered dealers (notified cases). The supplier's invoice shows **no GST**, but the **buyer still owes it**. RCM applies *only* where there's a taxable charge — never on exempt/nil/non-taxable supplies. ([ClearTax RCM guide](#), [Tally RCM](#), [CBIC RCM flyer](#))

Product implication: another reason a "no-GST" purchase bill is *not* ₹0 liability — under RCM the user owes GST the invoice never showed. Needs an **RCM flag** on bills.

4. GST in Bookkeeping & the P&L

GST is a balance-sheet pass-through, not a P&L item. You are a collection agent for the government:

- **On a sale:** book **revenue net of output GST**; the GST sits in an **Output GST / GST Payable (liability)** account.
- **On a purchase:** book **expense/asset net of input GST**; the recoverable GST sits in an **Input GST / ITC (asset)** account.
- **At period end:** Output liability – Input asset = **net GST payable** (a current liability), discharged in cash. None of these touch the P&L.

This is the treatment in ICAI's *Handbook on Finalisation of Accounts with GST perspective* (review of Balance Sheet vs Statement of P&L). ([ICAI Handbook](#), [ICAI IDTC publications](#))

Where the current tool is right and wrong: the *dashboard* GST-payable figure (output – input) is correct. But because the P&L is built "bottom-up from invoices," the tool must ensure it books the **net-of-GST** amount on each line and routes the tax to liability/asset accounts — *not* into revenue/expense, and *never* as a P&L "GST expense." The brief says expenses are already booked net of GST; the fix is to make GST a tracked liability/asset rather than a discarded number, so the payable figure is auditable.

5. The "No GST on a Sale" Problem

When a **sales** invoice shows a total but no GST line, there are **three interpretations**. The tool currently assumes #3-as-zero and under-reports.

#	Interpretation	When it's the right read	Correct handling
A. GST-inclusive	Price already includes GST (B2C/retail/MRP, or a sloppy B2B bill)	Seller is GST-registered , supply is taxable , total looks "round" or is a consumer sale	Back out GST: $\text{Base} = \text{Total} \times 100 / (100 + \text{rate})$, $\text{GST} = \text{Total} - \text{Base}$. Book base as revenue, GST as output liability.
B. Genuinely exempt / nil / unregistered / composition	No GST legally due	Supply is exempt/nil-rated; or seller is unregistered/composition	Book ₹0 GST , full total = revenue. Tag the supply as exempt/nil so it lands in the right return box.
C. Omitted / data error	GST should be there but wasn't itemised or extracted	Registered seller, taxable supply, B2B context	Flag for human. Don't guess silently.

Rec — default behaviour: 1. If user is **unregistered or composition** → ₹0 GST, no flag (correct by law). 2. If user is **registered** and supply is **taxable** and no GST line → **assume GST-inclusive at the standard rate (18%) and raise an amber flag**, with one-click resolutions: *"Inclusive @ 18%" / "Exempt/Nil" / "Zero-rated export" / "Enter rate."* Inclusive is the safest default because it **never under-reports** — booking ₹0 does. 3. Only book a true ₹0 when the user explicitly tags the line **Exempt/Nil/Zero-rated**.

The principle: **GST liability depends on whether the supply is taxable, not on whether the invoice itemised tax.** Bias the default toward "tax is owed, confirm it" rather than "no line, so zero."

6. Direct Tax & the P&L Tax Line

Income/corporate tax is **not** part of operating results — it appears as a **"Provision for Tax" (current tax)** line **below** profit-before-tax, and it's an **estimate** until the return is filed (and finalised after advance-tax/TDS adjustments).

6.1 Effective rates by entity (FY 2025-26 / AY 2026-27 — verify each Budget)

Entity	Headline rate	Surcharge	Cess	Effective (approx.)	Notes
Proprietor / individual (new regime, default)	Slabs 0→30%	10–25% (high income)	4%	marginal; ~0% up to ₹12L income (rebate)	Slabs: 0–4L nil, 4–8L 5%, 8–12L 10%, 12–16L 15%, 16–20L 20%, 20–24L 25%, >24L 30%. (ClearTax slabs)
Partnership firm / LLP	30% flat	12% if income >₹1 cr	4%	~31.2%, up to ~34.94% with surcharge	No slab benefit. (Bajaj — firm slab)
Domestic company — normal	30%	7% (>₹1cr) / 12% (>₹10cr)	4%	~31.2–34.94%	(PwC — corporate income)
Domestic company — turnover ≤ ₹400 cr	25%	7%/12%	4%	~26–29%	Most SMEs.
Company — Sec 115BAA (concessional)	22%	10%	4%	25.17%	No incentives; MAT-exempt. (ClearTax 115BAA)
Company — Sec 115BAB (new mfg)	15%	10%	4%	~17.16%	New manufacturers, conditions/dates apply. (Bajaj 115BAB)

(Individual new-regime: standard deduction ₹75,000; rebate makes income up to ₹12L effectively tax-free. Old regime still optional. — [ClearTax](#))

6.2 Presumptive taxation (simpler estimate for tiny businesses)

Section	Who	Turnover limit (FY 25-26)	Presumed profit
44AD	Resident individual/HUF/firm (not LLP), eligible businesses	₹2 cr (₹3 cr if ≥95% digital receipts)	8% of turnover (6% on digital)
44ADA	Resident professionals (CA, legal, medical, etc.)	₹50 L (₹75 L if ≤5% cash)	50% of gross receipts
44AE	Goods-carriage operators (≤10 vehicles)	per-vehicle	fixed ₹ per vehicle/month

6.3 Advance tax & TDS (as they touch the books)

- **Advance tax:** if annual tax liability > ₹10,000, pay in 4 instalments (15 Jun/Sep/Dec, 15 Mar). Affects cash, not the P&L expense. Shown as an *asset* (advance tax paid) until set off against the provision.
- **TDS:** tax deducted at source on certain payments (e.g. **194J** professional fees 10%, technical 2%; threshold ₹50,000/yr). When *you deduct* on a vendor bill → **TDS payable (liability)**; when *a customer deducts* on your invoice → **TDS receivable (asset)**, set off against your final tax. (ClearTax 194J)

Rec for the P&L tax line: show "**Provision for Tax (estimated)**" = `applicable rate × net profit`, picked from an entity-type setting, clearly labelled "*estimate — final on filing.*" Offer a presumptive toggle. Don't model surcharge bands, MAT, or set-offs in v1.

7. Other Levies (treat as ordinary operating expenses)

Levy	What	Treatment
Professional tax	State tax on trades/employment (≤₹2,500/yr)	Operating expense (and a payroll deduction if employees)
Property tax	Municipal tax on owned premises	Operating expense
Stamp duty	On agreements/property/share transfers	Expense, or capitalised if on a capital asset
Trade licence / shop-establishment fee	Municipal licence	Operating expense
Customs duty	On imports	Capitalised into cost of goods (import IGST is separate, ITC-claimable)

None of these need a special tier — a normal expense category line is enough. (PwC — other taxes)

8. Competitive Teardown — how others handle GST & tax

Tool	Registration / GST setup	Inclusive/exclusive toggle	CGST/SGST/IGST	Missing/zero GST handling	GST in P&L or BS	GST returns surfaced	Income-tax line
Zoho Books (India-native)	GSTIN + per-customer/vendor GST treatment: Registered / Composition / Unregistered / Consumer / SEZ / Overseas / Deemed Export — drives B2B vs B2C vs export reporting	Yes, per line/transaction	Auto-split from party state vs yours	Treatment field forces an explicit category (you can't leave a B2B sale untyped)	Balance-sheet pass-through (tax liability/ITC accounts)	GSTR-1/2/3B, GSTR-9 auto-generated	No tax-provision automation (accounting tool, not ITR)
Tally Prime (India-native)	Registration type (Regular/Composition/Unregistered); GST at company/group/item/ledger levels	Yes (incl. inclusive-of-tax stock items)	Auto CGST/SGST/IGST by transaction type	Item-level rate config; reconciliation reports flag mismatches	Balance-sheet pass-through	GSTR-1, GSTR-3B ready for portal upload	No
Vyapar (India-native, SMB/mobile)	Simple registration toggle; per-item rate auto-detected	Yes (inclusive/exclusive on bills)	Auto by intra/inter-state	Rate sits on the item, so a blank tax is rare	Balance-sheet	Auto GSTR-1/2/3B/4/9 , one-click send to CA	No
ClearTax (India-native, compliance-first)	GSTIN-centric; multi-GSTIN at PAN level	At invoice creation	Yes	Advanced reconciliation vs GSTR-2A/2B for ITC (auto-match)	Compliance layer, not full ledger	GSTR-1/2A/3B, ITC maximisation	Separate ITR products
myBillBook (India-native, SMB)	GST/non-GST invoice choice; tax rate in settings	Yes	Auto	Can issue non-GST invoices explicitly	Reports layer	GSTR reports + CA portal access	No

Tool	Registration / GST setup	Inclusive/exclusive toggle	CGST/SGST/IGST	Missing/zero GST handling	GST in P&L or BS	GST returns surfaced	Income-tax line
Marg ERP (India-native, retail/pharma)	Registration setup; bulk GST-rate update via GST menu	Yes	Auto	Item-master driven	Balance-sheet	GSTR-1/3B	No
RazorpayX Books	Payments-led; books layer for reconciliation	Inherits from invoice	Auto	Reconciliation-oriented	Balance-sheet	GST payment + reports	No
QuickBooks Online (global)	Exited India 30 Apr 2023 — no longer sold/serviced in India	Yes — line-level Inclusive / Exclusive / Not applicable tax model	Yes (where supported)	Tax code per line; can be "Not applicable"	Balance-sheet (GST liability account)	GSTR-1-6 export report	No (accounting only)
Xero (global, India GST support)	Org-wide registration status ; default tax treatment for sales & purchases	Default Tax Exclusive / Tax Inclusive setting, overridable per transaction	Yes	Per-transaction tax treatment must be chosen	Balance-sheet; cash vs accrual GST method	GST return shows owed/owing	No
FreshBooks / Wave (global, light)	Simple tax-rate setup; not India-GST-specialised	Yes (add tax to line)	Generic tax, not CGST/SGST split	Manual	Balance-sheet	Generic tax summary, no GSTR	No

Copyable UX patterns worth mirroring: - Zoho's per-party "GST treatment" dropdown (Registered / Composition / Unregistered / Consumer / SEZ / Overseas / Deemed Export) — this single field resolves inclusive/exclusive, CGST/SGST-vs-IGST, and the return box in one choice. **Best single pattern to copy.** ([Zoho](#)) - **Xero's org-level "Tax Inclusive/Exclusive default" + per-transaction override**, plus a **cash vs accrual GST method** switch. ([Xero — how GST works](#), [Xero tax treatment](#)) - **QuickBooks' line-level Inclusive / Exclusive / Not-applicable** tax model. ([Intuit — GST calculation](#)) - **Vyapar/Tally's rate-on-the-item** so tax is rarely blank. ([Vyapar](#)) - **ClearTax's GSTR-2A/2B reconciliation** for *input-tax accuracy* — relevant because the tool's GST-payable depends on correct ITC. ([ClearTax reconciliation](#)) - **myBillBook / Vyapar "CA portal"** — export GSTR summaries to the user's accountant rather than filing yourself. Lower-risk than auto-filing. ([myBillBook](#))

Note: QuickBooks' India exit (Apr 2023) leaves a gap in the affordable-English-UX segment that Zoho largely filled — useful positioning context. ([Intuit — discontinuation of QuickBooks in India](#))

9. Missing-Tax Gap Analysis (exhaustive)

Every tax/levy a typical Indian small business tracks, vs. the tool's current baseline (single tax number + empty income-tax line).

Tax / levy	What it is	Mandatory or situational	Where it belongs in the app	Priority
GST rate per line	The %, (5/18/40/0/3) behind each tax amount	Mandatory (registered)	Extracted field on each line item	Must-have
CGST/SGST vs IGST split	Intra- vs inter-state allocation of GST	Mandatory	Derived from place-of-supply (state) → 3 sub-accounts	Must-have
GST-inclusive handling	Backing tax out of an inclusive total	Mandatory (common B2C)	Per-invoice inclusive/exclusive flag + formula	Must-have
Exempt / nil-rated tagging	Supplies with no GST due	Situational	Per-line supply-type tag → correct ₹0 + return box	Must-have
Zero-rated (exports/SEZ)	₹0 GST but ITC retained/refundable	Situational (exporters)	Per-invoice "zero-rated" tag; separate from exempt	Must-have if any export users; else nice-to-have
Reverse Charge (RCM)	Buyer owes GST seller didn't charge	Situational (GTA, legal, imports, unregistered buys)	RCM flag on bills → creates output liability + ITC	Must-have (correctness; avoids hidden liability)
GST payable as balance-sheet liability	Output–input parked as a liability/asset, not P&L	Mandatory	Liability (output) + asset (ITC) accounts; payable = net	Must-have (already computed; needs proper placing)
Registration / composition status	Whether & how the user charges GST	Mandatory	Company-level setting (GSTIN, regular/composition/unregistered)	Must-have
Composition-scheme tax	Flat % of turnover, no ITC	Situational	Alt GST mode (flat % of sales)	Nice-to-have
Income-tax provision (estimate)	Current-tax estimate by entity type	Mandatory (every business)	Single P&L "Provision for Tax (est.)" below PBT	Must-have
Presumptive (44AD/44ADA/AE)	Simplified profit-based tax for small biz	Situational	Alternate income-tax estimate toggle	Nice-to-have

Tax / levy	What it is	Mandatory or situational	Where it belongs in the app	Priority
TDS payable (you deduct)	Tax withheld on vendor payments	Situational (above audit/threshold)	Balance-sheet liability; flag on bills (e.g. 194J)	Nice-to-have
TDS receivable (deducted from you)	Tax customers withheld on your invoices	Situational (B2B services)	Balance-sheet asset; set off vs tax provision	Nice-to-have
TCS (tax collected at source)	Collected on certain sales / by e-commerce	Situational	Liability sub-account	Skip v1
Advance tax	Quarterly pre-payment of income tax	Situational (>₹10k liability)	Asset (advance tax paid); reminder/cash-flow note	Nice-to-have
Professional tax	State trade/employment tax	Situational (most states)	Operating-expense line	Nice-to-have
Cess / surcharge	On high incomes (4% cess always; surcharge bands)	Situational	Inside the income-tax estimate, not separate	Nice-to-have
Capital gains	Tax on asset/investment disposals	Situational (rare for SMB ops)	Out of scope / separate report	Skip v1
Customs / import IGST	Duty + IGST on imports	Situational (importers)	Bill detail; IGST → ITC; duty → cost	Skip v1 (situational)
GST cess on sin goods	Compensation/40-slab extras	Situational (tobacco, etc.)	Rate table	Skip unless relevant
GSTR-1 / 3B summary export	Return-ready output	Mandatory eventually	Separate report from the ledger	Nice-to-have (high value)

10. Best-Practice Patterns & Specific Recommendations

- Company GST setting (onboarding):** "Are you GST-registered?" → GSTIN, and **registration type** (Regular / Composition / Unregistered). This alone resolves most "no-GST" ambiguity. Copy **Zoho/Tally**.
- Per-customer/vendor GST treatment** dropdown: Registered / Composition / Unregistered / Consumer / SEZ / Overseas. **Directly copy Zoho**. Drives inclusive/exclusive, CGST-SGST-vs-IGST, and the return box automatically. ([Zoho](#))
- Per-invoice/line flags:** **GST-exclusive / GST-inclusive / Exempt-Nil / Zero-rated / RCM**, plus a **rate** field (default 18%). Back out inclusive tax with $\text{Base} = \text{Total} \times 100 / (100 + \text{rate})$. Copy **Xero's default-with-override** model. ([Xero](#))
- Default for a registered, taxable sale with no GST line → assume inclusive @ standard rate + amber flag**, never silent ₹0 (\$5). This is the core correctness fix.
- GST on the balance sheet:** output-GST liability + input-GST(ITC) asset; dashboard "GST payable = output – input" stays. **Never** a P&L GST expense. ([ICAI Handbook](#))
- Income-tax line = one "Provision for Tax (estimated)"** below PBT, driven by an entity-type setting (proprietor slabs / firm-LLP 31.2% / company 25.17% via 115BAA / 25% / 30%). Label "estimate." Offer a **presumptive** toggle. Don't build surcharge/MAT logic in v1.
- Editable rate table** (GST slabs + entity tax rates), dated, so a Budget/Council change is a config edit, not a code change. **Show "as of FY 2025-26" in-product**.
- Reconciliation hook (later):** mirror ClearTax — compare extracted input GST against GSTR-2B to validate ITC before trusting the payable figure. ([ClearTax](#))
- CA-portal export** of GSTR-1/3B summaries (copy Vyapar/myBillBook) rather than auto-filing — lower compliance risk for a v1. ([Vyapar](#), [myBillBook](#))

11. Open Questions / Product Decisions

- Auto-file vs export-to-CA?** Generating GSTR-1/3B summaries for a CA is far lower-risk than filing on the portal. Recommend export-first.
- How aggressive is the inclusive-GST default?** Auto-backing-out at 18% maximises GST captured but can be wrong for genuinely exempt sellers — gate it behind the registration setting + confirmation.
- Do target users export / sell to SEZ?** Determines whether zero-rated handling is must-have or deferrable.
- TDS scope.** Many small businesses *receive* TDS (receivable) even when not deducting. Worth a light asset-tracking feature? Decide based on user mix (services vs goods).
- Entity-type capture.** Income-tax estimate needs proprietor vs firm vs company. Ask at onboarding, or infer from GSTIN PAN's 4th character (P=individual, F=firm, C=company, etc.)?
- Composition users** need a different GST model (flat % of turnover, no ITC). Separate mode or out of scope for v1?
- Rate maintenance ownership.** Who updates the rate table after each Budget/GST Council meeting — manual ops, or a fetched config?
- Place-of-supply accuracy.** CGST/SGST-vs-IGST depends on the customer's state; can the vision model reliably extract state / GSTIN, or do you ask the user once per customer?

Compiled June 2026. All rate-sensitive facts dated to FY/AY 2025-26 and GST 2.0 (effective 22 Sep 2025); GST Council and Union Budget change these — re-verify against CBIC (cbic-gst.gov.in), the GST portal, and the Income Tax Department (incometax.gov.in) before relying on any number in production.